

AI is power-hungry: Will consumers pay the price with higher electric bills?

Posted by u/squintamongdabland • 0 points • 18 comments

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Comments

u/FromsoftFan2104 • 1 points • 2026-04-11 09:17 UTC

It's already happening. My bill went from \$200 to \$600 monthly because of it.

u/SomeSamples • 2 points • 2025-08-05 03:34 UTC

Of course. These AI companies will pay off local and state politicians to get reduced taxes and get the power companies to put in new electrical infrastructure then get the average citizen to pay more for their electricity to subsidize all the new work.

u/Specialist-Phase-863 • 1 points • 2025-09-02 02:00 UTC

That literally doesn't make any logical sense. The company operating the AI company pays their own electric bill just like every household would. Only thing logical is the tariffs cause a spike in electric bills. Not AI company's lmao that's completely illogical

u/_Fred_Fredburger_ • 1 points • 2025-09-24 12:57 UTC

They're referring to the cost of the infrastructure. The infrastructure costs will be spread to Americans.

u/SomeSamples • 1 points • 2025-09-02 02:03 UTC

The utilities will put in more power capacity by building more power generation and delivery infrastructure. The AI companies will not have to pay for that, even though it is being built primarily for them. The AI companies will pay off the politicians to force a cheaper rate be given to the AI companies and the power companies, needing to recoup their investments in power generation and delivery will charge the average utility customer more since the AI companies will not be billed at the rates they should be billed at.

u/Specialist-Phase-863 • 1 points • 2025-09-02 02:05 UTC

That sounds illegal is my thought

u/SomeSamples • 1 points • 2025-09-02 15:45 UTC

It's not and is happening right now. Check out some of the electric price increase news articles and related

articles and videos. These AI companies are getting everyone else to subsidize their power use.

u/PageVanDamme • 5 points • 2025-08-05 16:04 UTC

America is a socialist country... for corporations

u/S0ylentBob • 12 points • 2025-08-04 22:06 UTC

Yes they will and no they shouldn't. These multinational billionaires bot farms should be 100% funded by the companies and their shareholders. And they should be required to be 100% renewable energy.

u/suspicious_hyperlink • 0 points • 2025-08-04 16:26 UTC

AI centers have to do with national security, therefore they should have their own power generation/transmission. It should have nothing to do with the civilian grid other than power used to build them

u/Apprehensive-Ad9523 • 5 points • 2025-08-04 20:13 UTC

Is that supposed to actually be a Question? National Security my bleep,, It's all about the money and you the public will pay every cent whether you roast or freeze to death.

u/Lord_Vesuvius2020 • 9 points • 2025-08-04 15:52 UTC

IMHO the only way the AI data centers don't increase the consumer prices is if the data centers are built with their own dedicated generation (or other firewall). Also wanted to mention that the increased demand for power caused by AI may lead to more grid shortages and brownouts.

u/mafco • 13 points • 2025-08-04 15:16 UTC

US consumers will pay higher prices because Republicans are kneecapping the lowest cost energy sources. Don't blame AI.

u/Enough_Roof_1141 • 2 points • 2025-08-05 20:14 UTC

I can blame AI, crypto, and oil if I want. It's all true.

u/[deleted] • 1 points • 2025-08-04 18:07 UTC

[removed]

u/scooter_orourke • 4 points • 2025-08-04 14:30 UTC

Capacity auctions are becoming more expensive because projected demand is outstripping planned capacity,

u/Helicase21 • 3 points • 2025-08-04 13:37 UTC

The problem is that this is all quite new in the scale of rate cases, tariff design, etc. Lots of utilities and regulators are trying to figure out how to hedge consumers against risks here but there hasn't been enough time to figure out best practices. Get the data center to cover costs for new generation or transmission to serve its load is pretty easy. The problem is what happens if the data center gets massively more efficient or goes out of business and the utility is left with 30 year financing commitments to assets that are no longer needed to serve that load.

u/technanonymous • 1 points • 2025-08-04 15:00 UTC

That's what chapter 11 bankruptcy is for. This is speculative investment that residential customers should not have to pay for. If the utility gets overextended and loses out when their tech customer goes belly up or changes its demand, then that is a bad investment that no one else but investors should have to pay for. A chapter 11 would keep the utility running and only cost the investors and lienholders.

u/straightdge • 6 points • 2025-08-04 13:26 UTC

Depends on the country the AI is built.

China just added 268 GW of renewable power in 6 months of 2025.

u/technanonymous • 3 points • 2025-08-04 13:13 UTC

In states with investor owned utilities, there is an oversight group. Where I live it is the Michigan Public Service Commission. These bodies control what rates can be charged back to consumers within the frameworks set out by each state's legislative body. It is up to the citizenry to ensure these bodies do the right thing and make big tech pay for these dedicated power plants and not the residential customers. If your regulatory body is screwing you by making "everyone" pay for these special purpose capital investments, you can fight it. The tech companies and utilities are counting on people not paying attention.

u/jjllgg22 • 1 points • 2025-08-04 14:09 UTC

Good point

The PSC makes the final call on how utilities spend on their grids and also how much they are allowed to profit from doing so. It's decision making for both is usually pencilled out via public hearings, where various advocacy groups chime in with "interventions" (often comments to support or counter a utility's plans)

In each state, there's one or more consumer advocacy groups that represent the "little guys" and try to keep the playing field as far as practical. But the larger, corporate energy buyers also fund their own advocacy groups.

So there's all this pushing and pulling going on. And regulators don't tend to be a bold bunch, so they are pretty susceptible to maintaining the status quo. But many states are developing data center-specific initiatives to support their development while not burdening everyone's energy bills. Hope these are effective

u/jjllgg22 • 3 points • 2025-08-04 12:54 UTC

Most states are actively investigating or implementing new rate designs for "large load" facilities, as a means to get the infrastructure cost better aligned with recovery.

<https://sepapower.org/large-load-tariffs-database/>

And some utilities have gone a step further and have required major upfront payments by data centers, in order to hedge any stranded asset risk

All to say, industrial load cost-shifting at the expense of ratepayers ain't new. But the scale of the new load growth absolutely requires rate designs reform.

A recent study in Illinois shows that only about 10% of the cost to connect a large load is recovered from that large load. The other 90% is spread across everyone else. This was passable historically, but i think it's unacceptable today

u/bonzoboy2000 • 1 points • 2025-08-04 12:53 UTC

That sounds like a question for AI

u/squintamongdablind • 2 points • 2025-08-04 12:43 UTC

> Utilities are prioritizing the needs of a few, energy-intensive customers to satisfy the surge in computer chip-filled warehouses, says the (Harvard) study, by the law school's Environmental & Energy Law Program. It argues that utilities are funding discounts to Big Tech by socializing their costs through electricity prices charged to the public.

That explains why my utility bill has more than doubled year-over-year.